THE NATIONAL COMPANY LAW TRIBUNAL

BENCH V

AT NEW DELHI

CA (CAA)-67/230/232/ND/2021

Under Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

IN THE MATTER OF:

SCHEME OF AMALGAMATION

OF

MALVIKA INVESTMENTS AND SERVICES PRIVATE LIMITED

...(Transferor Company 1/ Applicant No 1)

AND

SHREE JEE FINVEST PRIVATE LIMITED

...(Transferor Company 2/ Applicant No 2)

AND

CARARA CONSTRUCTIONS AND ENGINEERING

PRIVATE LIMITED

...(Transferee Company 3/ Applicant No 3)

Order Reserved on: 18.11.2021
Order pronounced on: 22.12.2021

CORAM:

SH. ABNI RANJAN KUMAR SINHA, HON'BLE MEMBER(J)

SH. AVINASH K. SRIVASTAVA, HON'BLE MEMBER (T)

PRESENT:

For the Applicant : Hemlata Rawat and Ayushmaan Vatsyayana for OL

For the Respondent:

MEMO Of PARTIES

In the Matter of Companies Act, 2013

Section 230 to 232

In the Matter of:

MALVIKA INVESTMENTS AND SERVICES PRIVATE LIMITED
Company incorporated under the Companies
Act, 1956
Having Registered Office at:
B-1/154, Janakpuri
New Delhi-110058

CIN: **U574899DL1993PTC054849**

through its authorized signatory

i). Mr Rameshwar Prasad Singhal (Director)
DIN: 00076953

ii) Ms Deepika Singhal (Director)
DIN: 06441754

(Transferor Company 1/ Applicant No 1)

AND

SHREEJEEFINVEST PRIVATE LIMITED

Company incorporated under the Companies
Act, 1956
Having Registered Office at:
B-1/154, Janakpuri
New Delhi-110058

CIN: **U574899DL1993PTC074000**

through its authorized signatory

i). Mr Rameshwar Prasad Singhal (Director)
DIN: 00076953

ii) Ms Deepika Singhal (Director)
DIN: 06441754

(Transferor Company 2/ Applicant No 2)

WITH

CARARA CONSTRUCTIONS AND ENGINEERING

Company incorporated under the Companies
Act, 1956

Having its registered office at:
B-1/154, Janakpuri
New Delhi-110058
Near Manukamna Mandir, New Delhi 110092
CIN: **U45201DL1997PTC118772**

Through its authorized signatory

i) Mr. Rahul Singhal (Director)
DIN: 00077022

ii) Mrs. Sarla Singhal (Director)
DIN: 00077147

(Transferee Company / Applicant No 3)

ORDER

PER SH. AVINASH K. SRIVASTAVA, MEMBER (TECHNICAL)

1. This application has been jointly filed by the Applicant Companies under Sections 230 and 232 of the Companies Act, 2013read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016,duly supported by separate affidavits of the Applicant Companies, for seeking appropriate directions for dispensing with the holding/convening of the meetings of the respective shareholders and creditors of all the Applicant companies for

approval of the proposed Scheme of Amalgamation as contemplated between the Applicant companies. The said Scheme of Amalgamation (hereinafter referred to as the "Scheme") has been placed on record along with the joint application.

2. It is represented that the registered office of all the applicant companies is situated in New Delhi and therefore the subject matter of this joint application falls within the Jurisdiction of this Bench.

3. Transferor Company 1 was incorporated under the Companies Act, 1956 on 16th August 1993 in the name and style of **"MALVIKA INVESTMENTS AND SERVICES PRIVATE LIMITED"** with the office of Registrar of Companies, NCT of Delhi and Haryana, under the CIN. U574899DL1993PTC054849.Its authorized share capital is Rs. 1,50,00,000/-divided into 15,00,000equity shares of Rs. 10/- each, while its issued, subscribed, and paid-up capital is Rs. 1,47,19,440/- divided into 14,71,944 equity shares of Rs. 10/- each.

4. Transferor Company 2 was incorporated under the Companies Act, 1956 on 20th November 1995 in the name and style of **"SHREEJEEFINVESTPRIVATE LIMITED"** with

the office of Registrar of Companies, NCT of Delhi and Haryana, under the CIN. U74899DL1995PTC074000. Its authorized share capital is Rs. 1,50,00,000/-divided into 15,00,000 equity shares of Rs. 10/- each, while its issued, subscribed, and paid-up capital is Rs. 1,35,70,370/- divided into 13,57,037 equity shares of Rs. 10/- each.

5. Transferee Company was incorporated under the Companies Act, 1956 on 25th July 2013 in the name and style of **"CARARA CONSTRUCTIONS AND ENGINEERING PRIVATE LIMITED"** with the office of Registrar of Companies, NCT of Delhi and Haryana, under the CIN. U45201DL1997PTC118772. Its authorized share capital is Rs. 3,00,00,000/-divided into 30,00,000 equity shares of Rs. 10/- each, while its issued, subscribed, and paid-up capital is Rs. 2,89,12,250/- divided into 28,91,225 equity shares of Rs. 10/- each.

6. The Transferor Companies are holding stakes directly in the Transferee Company and are managed and controlled by the common management personnel. Further the companies are run and operated from common place of business i.e. B-1/154, Janakpuri New Delhi 110058. Now with intent to achieve economies of scale and efficiency, etc., the merger of

the Companies is being undertaken. The amalgamation of the Transferor Companies with the Transferee Company would inter alia have the following benefits:

- Greater integration and greater financial strength and flexibility for the amalgamated entity, which would result in maximizing overall shareholder value, and will improve the competitive position of the combined entity,
- Greater efficiency in cash management of the amalgamated entity, and unfettered access to cash flow generated by the combined business which can be deployed more efficiently to fund organic and inorganic growth opportunities to maximize shareholder value
- Greater access by the amalgamated company to different market segments in the conduct of its business
- Cost savings are expected to flow from more focused operational efforts, rationalization, standardization and simplification of business processes, and the elimination of duplication, and rationalization of administrative expenses

- Achieving economies of scale

- In view of the aforesaid, the Board of Directors of the Transferor Companies and the Transferee Company have considered and proposed the amalgamation of the entire undertaking and business of the Transferor Companies with the Transferee Company order to benefit the stakeholders of all the three companies.

7. It is submitted that Applicant Companies do not have any Secured Creditor and Certificate by Statutory Auditors verifying the list of the Secured Creditors is placed on record.

8. It is submitted that Applicant Company 1 and 2 do not have any unsecured creditor while Applicant Company 3 has 1 unsecured creditor and Certificate by Statutory Auditors verifying the list of the unsecured Creditors is placed on record.

9. It is submitted that the Transferor Company 1 has 5 Equity Shareholders and no secured as well as unsecured creditors. The certificate of chartered accountant in respect of creditors has also been placed on record **(Annexure A-12)**.In respect of shareholders' prayer has been made for

issuance of directions for dispensing the convening of the meeting of the shareholders.

10. The Transferor Company 2 has 5 Equity Shareholders and do not have any secured or unsecured creditor. The certificate of chartered accountant in respect of creditors has also been placed on record **(Annexure A-16).** In respect of shareholders, prayer has been made for issuance of directions for dispensing their respective meetings.

11. The Transferee Company has 5 Equity Shareholders and 1secured creditor and 2 unsecured creditors. The certificate of chartered accountant in respect of creditors has also been placed on record**(Annexure A-24).** In respect of shareholders and unsecured creditor, prayer has been made for issuance of directions for dispensing their respective meetings.

12. The equity shareholders of the Applicant Company 1 to 3 have given their consent affidavit and is placed on record annexed as **Annexure A-11, A-15, A-23** respectively.

13. No Objection Certificate of Unsecured Creditors to dispense with the holding of meeting is placed on record.**(Annexure A-10)**

14. We have perused the joint applications and the connected documents/ papers filed herewith including the Scheme of Amalgamation contemplated between the Applicant companies.

15. It is further submitted that the board of directors of all the applicant companies vide separate Board meetings, held on 05.02.2021 respectively have unanimously approved the proposed Scheme of Amalgamation and copies of such board resolutions passed there have been placed on record by the companies.

16. All the applicants have filed their respective Memoranda and Articles of Associations. The applicants have also filed their latest audited financial statements for the year ending 31.03.2021.

17. All the companies have submitted that no investigation proceedings are pending under the provisions of the Companies Act against any of the applicant company. In this regard, a separate affidavit in accordance to Sec 230(2)(a) has been placed on record.

18. Further, it has been stated in the application that the Scheme is not prejudicial to the interests of the shareholders, and creditors of the applicant companies.

The Scheme will be beneficial to all the applicant companies and their respective shareholders, and creditors.

19. The certificates of statutory auditors of all the applicant companies confirming that the accounting treatment in the scheme is in compliance of and in conformity with Section 133 of the Companies Act, 2013 have been placed on record **Annexure A-27**.

20. Taking into consideration the application filed jointly by the Applicant Companies the following directions are issued:

A. In relation to Transferor Company 1

i. With respect to Equity Shareholders:

Meeting of the 5equity shareholders is directed to be dispensed with as the 100% written consent has been obtained by way of affidavits for the proposed merger.

ii. With respect to secured creditors:

As there is no secured creditor in the Transferor Company 1, the requirement of convening meeting of unsecured creditors does not arise.

iii. With respect to unsecured creditors:

As there is no unsecured creditor in the Transferor Company 1, the requirement of convening meeting of unsecured creditors does not arise.

B. In relation to Transferor Company 2

i. With respect to Equity Shareholders:

Meeting of the 5 equity shareholders is directed to be dispensed with as the 100% written consent has been obtained by way of affidavits for the proposed merger.

ii. **With respect to secured creditors:**

As there is no secured creditor in the Transferor Company 2, the requirement of convening meeting of secured creditors does not arise.

iii. **With respect to unsecured creditors:**

As there is no unsecured creditor in the Transferor Company 2, the requirement of convening meeting of unsecured creditors does not arise.

C. In relation to Transferee Company

i. With respect to Equity Shareholders:

Meeting of the 5 equity shareholders is directed to be dispensed with as the 100% written consent has been obtained by way of affidavits for the proposed merger.

ii. **With respect to secured creditors:**

As there is no secured creditor in the Transferee Company, the requirement of convening meeting of secured creditors does not arise.

iii. **With respect to unsecured creditors:**

Meeting of the 1 unsecured creditor of Transferee Company is directed to be dispensed with as pursuant to the power under section 230(9) of the Companies Act, 2013. The Consent Affidavit of the all the unsecured creditors has already been placed on record.

21. The application stands allowed in the aforesaid terms.

Let the copy of the order be served to the parties.

Sd/- 22/12/2021

AVINASH K. SRIVASTAVA
MEMBER (TECHNICAL)

Sd/-

ABNI RANJAN KUMAR SINHA
MEMBER(JUDICIAL)